

IPR UNIT - 2

Made from the IPU recommended textbook *Intellectual Property: The Law of Trademarks, Copyrights, Patents and Trade Secrets, Fourth Edition, by Deborah E. Bouchoux.*

Unit 2: Trademarks & Copyrights

PART A: TRADEMARKS

1. Rights of a Trademark Owner

A trademark grants the owner a "bundle of rights" to exclusively use and protect a symbol that identifies their goods or services.

- **Right to Exclusive Use:** The owner has the sole right to use the trademark in connection with the goods and services listed in the registration. This prevents competitors from using the mark.
- **Right to Protect Against Infringement [PYQ]:** An owner can legally stop others from using a mark that is "confusingly similar" to their own. The core of trademark protection is preventing consumer

confusion about the source of a product.

Case:	<i>Phat Fashions, L.L.C. v. Phat Game Athletic Apparel, Inc.</i> , No. 01C-1771, 2002 WL 570681 (E.D. Cal. Mar. 20, 2002).	
Background:	In 1992, Russell Simmons, the cofounder of Def Jam Records, founded Phat Fashions, a manufacturer and distributor of urban and athletic apparel offered under the registered mark PHAT FARM® and other marks, including PHAT® and BABY PHAT®. In 1998, defendants began to sell athletic apparel and accessories bearing the mark PHAT or PHAT GAME. Defendants filed a trademark application to register PHAT GAME, and plaintiff brought an action for trademark infringement, unfair competition, and dilution.	
Marks:	Plaintiff's Marks: PHAT FARM® and PHAT® Defendants' Mark: PHAT GAME	
Analysis:	After stating that to prove trademark infringement a plaintiff must show he or she has a valid, protectable trademark and that the defendant's mark created a likelihood of confusion, the court analyzed the various infringement factors as follows:	
Factor	Court Analysis	Court Conclusion
Strength of the Mark	The plaintiff's PHAT mark was arbitrary and thus strong and was well known by the purchasing public.	First factor weighs heavily in plaintiff's favor.
Similarity of Marks	First word (<i>phat</i>) in each mark is dominant feature and consumers would conclude that the word <i>phat</i> in defendants' mark refers to plaintiff.	Second factor weighs in plaintiff's favor.
Similarity of Goods	Marks are both used on identical goods (namely, wearing apparel).	Third factor weighs in plaintiff's favor.
Channels of Trade	Goods are sold for similar prices and there is similarity in marketing channels used for distribution.	This factor weighs in plaintiff's favor.
Purchaser Care	Both parties market to young people, and prices for many goods are under \$30. These young consumers are often not careful purchasers, especially when prices are low.	Because of youth of defendants' market and relatively low prices, this factor weighs in plaintiff's favor.
Actual Confusion	Actual confusion is not necessary to find trademark infringement.	Lack of actual confusion weighs only slightly in defendants' favor, if at all.
Intent of Defendants	Defendants knew of plaintiff's marks and had conducted some research and trademark searches. Thus, defendants deliberately adopted their mark to obtain a business advantage.	This factor weighs heavily in plaintiff's favor.
Holding:	Defendants infringed plaintiff's trademarks and engaged in unfair competition as well as dilution of plaintiff's trademarks. Defendants were ordered to cease using PHAT GAME, disable their Internet website (http://www.phatgame.com), and transfer their domain name to the plaintiff.	

- **Case Study (Infringement): *Phat Fashions, L.L.C. v. Phat Game Athletic Apparel, Inc.*:** Phat Fashions (owner of PHAT FARM®) sued an athletic company for using the mark PHAT GAME. The court found in favor of Phat Fashions, noting that the marks were similar, were used on related goods (apparel), and that the word "Phat" was the dominant part of each mark, creating a likelihood of confusion. This case illustrates how courts analyze similarity and protect established brands. [FIG: See *Anatomy of an Infringement Case*, Page 61]

- **Right to License [PYQ]:** The owner can permit others to use the trademark in exchange for a fee or royalty. This is the basis for franchising (e.g., McDonald's) and merchandising (e.g., Disney characters on backpacks).
- **Right to Assign (Sell):** A trademark is an asset that can be sold or transferred to another party.

- **Right to Protect Against Dilution:** This applies only to **famous** marks. It prevents uses that, while not confusing, could weaken ("blur") or harm ("tarnish") the famous mark's reputation.
 - **Example (Blurring):** Using the famous "Tiffany" mark for a restaurant. Consumers wouldn't think the jewelry company opened a restaurant, but the use dilutes the unique association of "Tiffany" with luxury jewelry.
 - **Example (Tarnishment):** Using the "Rolls-Royce" mark on a cheap brand of soap could harm the car company's reputation for quality and luxury.

2. Purpose and Function of a Trademark [PYQ]

Trademarks are essential in commerce because they perform several critical functions for both businesses and consumers.

- **Source Identification:** The primary function is to identify one seller's goods and distinguish them from goods sold by others.
 - **Example:** The bitten apple logo tells a consumer that the electronic device is from Apple Inc., not from Samsung or Google.
- **Guarantee of Quality:** Trademarks signify that all goods bearing the mark come from a single source and are of a consistent quality.
 - **Example:** A consumer purchasing a GAP® shirt in Dallas is assured it will have the same quality and style as one purchased in Philadelphia.
- **Advertising and Goodwill:** Trademarks are the centerpiece of advertising, acting as a "silent salesman." They embody the goodwill and reputation of the business.
 - **Example:** The slogan JUST DO IT® immediately brings the Nike brand to mind and represents its image of athletic performance.
- **Reduces Consumer Confusion:** By clearly identifying the source, trademarks help consumers make informed and quick purchasing decisions, avoiding confusion and mistakes in the marketplace.

3. Trademark Acquisition and Protection [PYQ]

Trademark rights can be established in two ways: through use in the marketplace or through formal registration with the government.

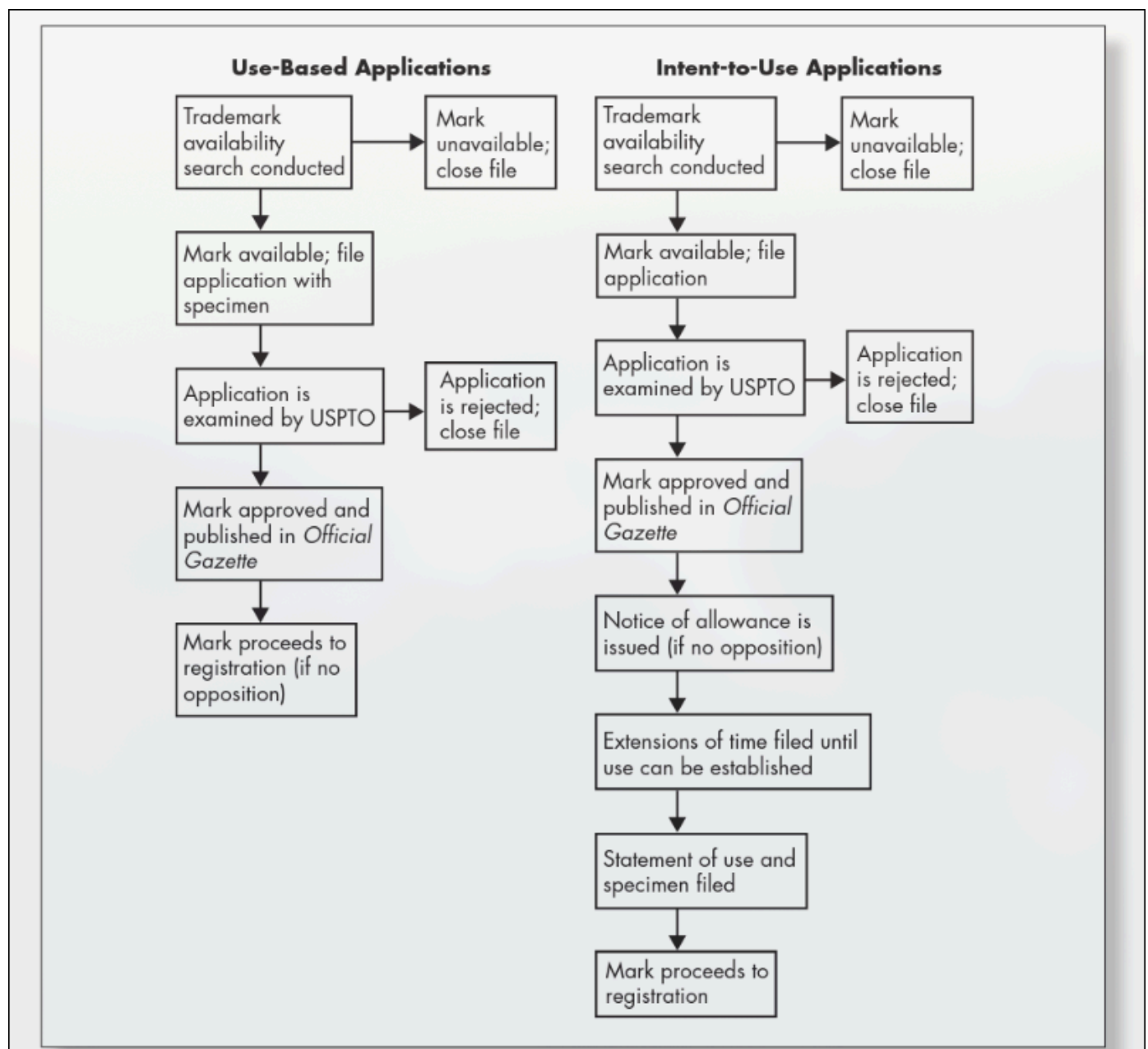
1. **Acquisition Through Use (Common Law):** In countries like the U.S. and India (to some extent), trademark rights begin the moment a mark is used in commerce.
 - **Protection:** Rights are limited to the geographic area where the mark is actually being used.
 - **Example:** A small bakery in Goa using the name "Goa Bakes" since 2010 has common law rights and can stop a new bakery in Goa from using a similar name. However, it cannot stop a bakery in Delhi from using it.
2. **Acquisition Through Registration (Statutory Protection):** Registering a trademark with the national trademark office (e.g., the Office of the Controller General of Patents, Designs and Trade

Marks in India) provides far superior protection.

- **Benefits of Registration:**

- **Nationwide Protection:** Rights are recognized across the entire country, not just in the area of use.
- **Legal Presumption of Ownership:** A registration certificate is proof of ownership, making it much easier to win an infringement lawsuit.
- **Right to Use the ® Symbol:** Only owners of registered trademarks can use the ® symbol. Unregistered marks may use "TM" (for goods) or "SM" (for services).
- **Deters Others:** A registered mark appears in official searches, deterring others from adopting a similar mark.
- **Ability to File Lawsuits:** Registration is a prerequisite for filing an infringement suit in many jurisdictions.

4. Trademark Registration Process [PYQ]



The process is a formal, multi-step procedure. [FIG: See *Trademark Prosecution Flowchart*, Page 47]

1. **Trademark Search:** Before applying, conduct a thorough search of the trademark database to ensure the mark is unique and available for registration.
 2. **Filing the Application:** Submit an application to the Trademark Office. The application must include the mark, the owner's details, and a list of goods/services classified according to the **International (Nice) Classification of Goods and Services**.
 3. **Examination:** A government examiner reviews the application to check for conflicts with existing marks and to ensure it complies with the law (e.g., it is not merely descriptive or generic). If there are issues, the examiner issues an **Office Action** letter.
 4. **Publication:** Once the examiner approves the mark, it is published in the official **Trademarks Journal**. This begins an opposition period (typically 3-4 months) during which the public can object to the registration.
 5. **Registration:** If no one opposes the mark, or if an opposition is overcome, the office issues a **Certificate of Registration**. The trademark is typically valid for 10 years and can be renewed indefinitely.
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PART B: COPYRIGHTS

1. Law of Copyrights: Rights and Protection [PYQ]

Copyright is a legal right that protects the original expression of an idea by an author or creator, but not the idea itself. In India, it is governed by the **Copyright Act, 1957**.

- **What Copyright Protects:** Original works of authorship that are fixed in a tangible form. This includes:
 - **Literary, Dramatic, Musical, and Artistic Works:** Books, computer software, songs, plays, paintings, photos.
 - **Cinematograph Films and Sound Recordings.**
- **The "Bundle of Rights" for a Copyright Owner:** Copyright provides a set of exclusive rights:
 - **To Reproduce the Work:** The right to make copies.
 - **To Issue Copies of the Work:** The right to distribute and sell copies (controlled by the "first sale doctrine," where the owner loses control over a specific copy once it is sold).
 - **To Perform the Work in Public:** The right to control public performances (e.g., plays, concerts).
 - **To Communicate the Work to the Public:** The right to broadcast the work (e.g., on radio, TV, or the internet).
 - **To Make Adaptations and Translations:** The right to create derivative works, such as making a film based on a book.

2. Infringement of Copyright under Copyright Act [PYQ]

Infringement is the unauthorized use of a copyrighted work, violating the exclusive rights of the copyright owner. It is not necessary for the infringer to have intended to copy; even innocent or accidental copying can be an infringement.

- **How to Prove Infringement:** The owner must show:
 1. **Ownership** of a valid copyright.
 2. **Copying** of the original elements of the work. This is usually proven by showing the infringer had **access** to the original work and that the two works are **substantially similar**.
- **Common Forms of Infringement:**
 - Photocopying substantial portions of a book without permission.
 - Downloading music or movies from unauthorized websites.
 - Using a photograph on a commercial website without a license.
 - Performing a copyrighted play at a theatre without paying royalties.
- **Defense against Infringement: Fair Dealing / Fair Use:** A key exception that allows for limited use of copyrighted material without permission for specific purposes, such as:
 - Private or personal use, including research.
 - Criticism or review.
 - Reporting of current events.
 - Use in connection with judicial proceedings.
- **Case Study (Infringement): *R.G. Anand v. Delux Films*:** The Supreme Court of India established the "lay observer test," stating that infringement occurs if a reasonable person, after seeing both works, would get the impression that the second work was a copy of the first. It clarified that similarity of ideas is not infringement, but similarity in the *expression* of those ideas is.

There are a number of myths or misconceptions regarding copyright infringement. Some of the more common myths include the following:

- **I can use anything without a copyright notice.** False. Placing a copyright notice on a work is optional since March 1, 1989, and works are protected under copyright law from the time of their creation in a fixed form.
- **If I give credit or attribution to another, there is no infringement.** False. While indicating that material is the product of another may show innocent infringement and help to reduce damages, infringement is not cured by reciting that another is actually the author of a work.
- **I'm only using a little bit, so there can be no infringement.** False. Copyright infringement does not depend on how much is taken. This myth is similar to a common misunderstanding that a musician can use four bars of another's song before infringement will be found. If the amount taken is qualitatively significant, infringement will exist. In one case, the taking of two bars of music was held to be an infringement.
- **If I don't charge for what I took, there can be no infringement.** False. Although a noncommercial use of a work may affect the damages awarded in an infringement case, unauthorized taking constitutes infringement whether or not it is for profit-making purposes.
- **I'm only paraphrasing, so there can be no infringement.** False. Infringement is not limited to exact copying. If two works are substantially similar, copying may be shown.
- **I mailed it to myself and thus copyrighted the work.** False. For some reason, a myth persists that if one mails a copy of one's work to oneself, the work is now protected by copyright. The mailing of the work has no relationship to copyright protection. The work is protected from the time it is created in a fixed form.

3. Distinction Between Related Rights and Copyright

Copyright protects the author's original work, while **Related Rights** (also known as Neighboring Rights) protect those who help communicate that work to the public.

Basis of Distinction	Copyright	Related Rights (Neighboring Rights)
Who is Protected?	Authors and Creators (e.g., songwriter, novelist, painter).	Performers, Producers, and Broadcasters.
What is Protected?	The original work itself (e.g., the song, the book).	The performance of a work, the sound recording of the performance, and the broadcast signal.
Purpose	To reward and encourage the creation of new works.	To protect the economic investment and creative contribution of performers and distributors.
Example	Javed Akhtar writes the lyrics to a song. He owns the copyright in the lyrics (a literary work).	Arijit Singh sings the song. He has Performer's Rights . T-Series records and produces the song. It has rights as the Producer of the Sound Recording . A radio station plays the recording. It has Broadcaster's Rights .

4. Celebrity Rights

Also known as the **Right of Publicity**, this is the right of an individual to control the commercial use of their name, image, likeness, and other aspects of their identity.

- **Core Concept:** A celebrity's identity is a valuable asset. They have the right to decide how it is used for commercial purposes and to be compensated for it. This right prevents unauthorized endorsements or associations.
- **What it Protects:** Name, photograph, signature, voice, and any characteristic that clearly identifies the celebrity.
- **Indian Context:** While not a specific statute, Indian courts have repeatedly upheld the Right of Publicity as a part of the Right to Privacy and as a distinct property right.
- **Case Study (Indian Context): *Titan Industries Ltd. v. Ramkumar Jewellers*:** The Delhi High Court protected the publicity rights of actors Amitabh Bachchan and Jaya Bachchan. A jeweler used a photograph of the famous couple without permission in an advertisement. The court held that a celebrity's personality can be a form of merchandise and its unauthorized use is an infringement of their publicity rights.

5. Academic Integrity and Plagiarism

Plagiarism is presenting someone else's work or ideas as one's own, with or without their consent, by incorporating it into your work without full acknowledgment. It is an act of fraud and a serious breach of academic ethics.

- **Plagiarism vs. Copyright Infringement:** They are related but distinct concepts.
 - **Plagiarism** is an **ethical** issue of claiming false authorship.
 - **Copyright Infringement** is a **legal** issue of violating an owner's exclusive rights.

- **Example:** Copying a classmate's unpublished essay is plagiarism but may not be infringement (unless they registered it). Copying a paragraph from a new best-selling book without credit is both plagiarism and infringement.

- **What Constitutes Plagiarism?**

- Turning in someone else's work as your own.
- Copying words or ideas without giving credit.
- Failing to put a quotation in quotation marks.
- Giving incorrect information about the source of a quotation.
- Changing words but copying the sentence structure of a source without giving credit (mosaic plagiarism).

- **Avoiding Plagiarism:** Always cite your sources. When quoting directly, use quotation marks. When paraphrasing, restate the idea completely in your own words and still cite the source.

- **Indian Context:** The **University Grants Commission (UGC)** has implemented strict regulations (Promotion of Academic Integrity and Prevention of Plagiarism in Higher Educational Institutions) Regulations, 2018. It mandates the use of plagiarism detection software for all research submissions and prescribes penalties for students and faculty found guilty of plagiarism, ranging from revising the work to academic suspension.
